

Planning

Introduction/ Meaning

A plan is a predetermined course of action. It is a blue print for goal achievement. Simply stated, it is setting goals and deciding how to achieve them. Planning is deciding in advance what to do, how to do it, when to do it and who is to do it. It bridges the gap from where we are to where we want to go. Planning has a number of **characteristics**:

- **Planning is goal-oriented:** All plans arise from objectives. Objectives provide the basic guidelines for planning activities. Planning has no meaning unless it contributes in some positive manner to the achievement of predetermined goals.
- **Planning is a primary function:** Planning is the foundation of management. It is a parent exercise in management process. It is a preface to business activities.
- **Planning is all-pervasive:** Planning is a function of all managers. It is needed and practiced at all managerial levels. Planning is inherent in everything a manager does.
- **Planning is a mental exercise:** Planning is a mental process involving imagination, foresight and sound judgment. Planning compels managers to abandon guesswork and wishful thinking. It makes them think in a logical and systematic manner.
- **Planning is a continuous process:** Planning is continuous. It is a never-ending activity. It is an ongoing process of adjustment to change. There is always need for a new plan to be drawn on the basis of new demands and changes in the circumstances.
- **Planning involves choice:** Planning essentially involves choice among various alternative courses of action. If there is one way of doing something, there is no need for planning. The need for planning arises only when alternatives are available.
- **Planning is forward looking:** Planning means looking ahead and preparing for the future. It means peeping into the future, analyzing it and preparing for it. Managers plan today with a view to flourish tomorrow. Without planning, business becomes random in nature and decisions would become meaningless, ad hoc choices.
- **Planning is flexible:** Planning is based on a forecast of future events. Since future is uncertain, plans should be reasonably flexible. When market conditions change, planners have to make necessary changes in the existing plans.
- **Planning is an integrated process:** Plans are structured in a logical way wherein every lower-level plan serves as a means to accomplish higher level plans. They are highly interdependent and mutually supportive.
- **Planning includes efficiency and effectiveness dimensions:** Plans aim at deploying resources economically and efficiently. They also try to accomplish what has been actually targeted. The effectiveness of plans is usually dependent on how much it can contribute to the predetermined objectives.

Importance of Planning

Planning helps an organisation in the following ways:

- **Planning provides direction:** Planning provides direction and a sense of purpose for the organisation. Without plans and goals, organisations merely react to daily occurrences without considering what will happen in the long-run. Plans avoid this drift situation and ensure that short-range efforts will support and harmonize with future goals. It helps an organisation decide what to do and when to do it. It reduces aimless activity and makes action more meaningful.
- **Planning provides a unifying framework:** A plan helps people to set priorities and put effort accordingly. A plan tells everyone what the organisation hopes to achieve and what the contribution of each department must be, and who is to utilize resources to achieve the goals. Plans help in coordinating effort at various levels. In the absence of a plan, the organisation would be pulled in different directions, creating confusion and misunderstanding at various levels.
- **Planning is economical:** Effective plans coordinate organisational work and eliminate unproductive effort. Guess work is banished. Facilities are employed to the best advantage. Waste motions and idle facilities are removed. By focusing attention on what is to be done, how and when it is to be done, plans help an organisation to economically utilize the physical and financial resources. This, ultimately, improves efficiency of operations.
- **Planning reduces the risks of uncertainty:** Planning helps an organisation to cope with an uncertain future. It helps management to anticipate the future and prepare for the risks by making necessary provisions to meet the unexpected turn of events. Planning minimizes the chances of mistakes and unpleasant surprises because objectives, policies and strategies are formulated after a careful scrutiny of internal as well as external environment. Planning, thus, seeks to minimize risk while taking advantage of opportunities.
- **Planning facilitates decision making:** Decision-making involves searching of various alternative courses of action, evaluating them and selecting the best one. Planned targets serve as the criteria for the evaluation of different alternatives so that the best one may be chosen. If there are no plans for the future, there are few guidelines for making current decisions. For example, decisions have to be made in present for a product to be introduced three years in the future. When future plans exist, decisions consistent with the future plans are made. Further, without plans, people will make decisions according to their own preference rather than those of the organisation.
- **Planning encourages innovation and creativity:** Planning involves looking ahead and preparing for the future. The process of looking ahead, forces an organisation to be alert of opportunities and threats in the environment. It forces managers to find out new and improved ways of doing things in order to remain competitive and avoid the threats in the environment. It compels the managers to be creative and innovative all the time. Planning helps managers to visualize problems early and take suitable remedial steps. It helps them exploit opportunities and come out as 'winners' in a competitive world.
- **Planning improves morale:** Once members know what is expected of them, they can contribute better. When goals are properly defined, work assignments can be fixed and everyone can begin to contribute to the achievement of these goals. This produces improvements in morale. Further, planning permits employees to participate in the thinking process. This helps them develop a broad mentality. Also, when the plan is actually translated into action, they feel that it is their own plan. Positive attributes are, thus, developed.

- **Planning facilities control:** Planning and controlling functions are said to be 'Siamese twins' (inseparable twins). There is nothing to control without planning and without proper control, planning proves to be a wasteful and an unproductive exercise. Plans serve as yardsticks for measuring performance. They help in channelizing behaviour in the right direction. They help in preventing mistakes, oversights and deviations.

Limitations/Criticisms of Planning

The limitations of planning can be examined under the following headings:

- **Rigidity:** Plans put the activities of an enterprise in a rigid framework. Everything is spelt out in detail and deviations are not permitted. New opportunities are often ignored or rejected because of the commitment to existing plans. Events may change, but plans may remain fixed. Managers, too, would be reluctant to reorient their plans suitably, because it involves serious mental work to put everything in black and white change the same all over again.
- **Costly and time consuming:** Planning is costly. It is expensive in terms of time spent to formulate the plans, the manpower required to do the planning and resources needed to execute the plan. The collection of information, evaluation of alternatives, selection of a suitable course of action, etc., may consume lot of executive time and organisational resources.
- **Employee resistance:** For any plan to succeed, you need operating people to understand it, embrace it, and make it happen. One of the frequent complaints made against the planning process is that it is done by specialists who are not in touch with operations. As a result, operating people who are not involved in planning tend to resist the planning process. Planning 'imposed from above' often leads to resentment and resistance from those forced to execute.
- **False sense of security:** Elaborate planning may create a false sense of security in the organisation. Managers may begin to feel that everything is well taken care of. They begin to assume that as long as plans are adhered to, there will not be any problems. As a result, they fail to take note of environmental changes and the need to review, restructure and reorient the old plans in an appropriate way.
- **Managerial deficiencies:** Planning is an intellectually demanding function. Since managers are assessed on the basis of results, they begin to discount long-range plans, and adopt short-range plans which would put them in a comfortable position. This may harm organisational interests in the long-run. Planning involves lot of paper work and hard mental labour. Most managers may not like to undergo such a painful process which, ultimately may not produce results.
- **Planning prevents innovation:** Planning demands commitment to written policies, procedures and rules etc. It restricts a manager unnecessarily to defined areas. The executive is prevented from experimenting with novel ideas, venturing into risky but profitable areas and exploring the untested yet lucrative grounds.
- **External Limitations:** It is quite often remarked that 'planning is a ritual in a fast changing environment'. This statement subscribes to the fact that planning is an empty academic exercise in the face of a highly competitive and turbulent environment.
 1. **Difficult to predict:** It is difficult for planners to forecast economic conditions, government policies, competitive manoeuvres or human behaviour with any degree

of accuracy. Planning, basically depends on a whole set of assumed conditions. Only when these assumptions are substantially correct, planning produces fruitful results.

2. **Projected too far into the future:** Moreover, the reliability of planning efforts is open to doubt since they are projected farther into the future, where the manager has no control over environmental forces.
3. **Environmental turbulence:** Future is a moving target. It may not be possible to anticipate future changes accurately and provide for them in plans. Uncertainty and unpredictability, the hallmarks of business environment—reduce the usefulness of planning and forecasting. Competition turns the best laid human plans into waste paper. Economic, political and technological revolutions force corporate planners to revise the plans day in and day out. Sometimes, there is a revision in plans even before their implementation. In the face of a highly volatile and turbulent environment, plans become obsolete documents and fail to guide the destinies of the organisation. And, it is extremely difficult for the organisations to buffer themselves against environmental instability, no matter how carefully and effectively the planning exercises are done.
4. **Emergency situations/ Contingencies:** The utility of planning is further discounted, in the face of emergencies like strikes, lockouts, industrial disasters like the one that took place in Chemical Plant in Bhopal, Madhya Pradesh (India). In such instances, plans are completely upset, decisions made hand-to-mouth.

Process of Planning

The process of planning consists of the following steps:

- **Establishing objectives:** The first step in the planning process is to identify the goals of the organisation. The internal as well as external conditions affecting the organisation must be thoroughly examined before setting objectives. The objectives so derived must clearly indicate what is to be achieved, where action should take place, who is to perform it, how it is to be undertaken and when is it to be accomplished. In other words, managers must provide clear guidelines for organisational efforts, so that activities can be kept on the right track.
- **Developing premises:** After setting objectives, it is necessary to outline planning premises. Premises are assumptions about the environment in which plans are made and implemented. Thus, assumptions about the likely impact of important environmental factors such as market demand for goods, cost of raw materials, technology to be used, population growth, government policy, etc. on the future plans are made. Plans should be formulated by the management, keeping the constraints imposed by internal as well as external conditions in mind.
- **Evaluating alternatives and selection:** After establishing the objectives and planning premises, the alternative courses of action have to be considered. The pros and cons as well as the consequences of each alternative course of action must be examined thoroughly before a choice is made.
- **Formulating derivative plans:** After selecting the best course of action, the management has to formulate the secondary plans to support the basic plan. The plans derived for various departments, units, activities, etc., in a detailed manner are known as 'derivative plans'. For example, the basic production plan requires a number of things such as availability of plant

and machinery, training of employees, provision of adequate finance, etc. To ensure the success of a basic plan, the derivative plans must indicate the time schedule and sequence of performing various tasks.

- **Securing cooperation and participation:** The successful implementation of a plan depends, to a large extent, on the whole-hearted cooperation of the employees. In view of this, management should involve operations people in the planning activities.
- **Execution & Providing for follow-up:** Plans have to be reviewed continually to ensure their relevance and effectiveness. In the course of implementing plans, certain facts may come to light that were not even thought of earlier. In the light of these changed conditions, plans have to be revised. Without such a regular follow-up, plans may become out-of-date and useless. Moreover, such a step ensures the implementation plans along right lines.

Decision Making

refers to a process by which individuals select a particular course of action among several alternatives to produce a desired result. The main purpose of decision making is to direct the resources of an organization towards a future goals and reduce the gap between the actual position and the desired position through effective problem solving and exploiting business opportunities.

A decision is a choice made from various available alternatives.

Decision making involves commitment of the organization, its employees and its resources, towards a particular course of action among various alternatives available to achieve some predetermined objectives. Decision Making helps managers to identify organizational problems and attempt to solve it. It is carried out at all management levels in an organization. Decisions that are taken in an organization are usually related to –

- Goals and objectives of the organization
- Organizational structure
- Organizational design
- Budgets
- Time period
- Staff – salaries, wages, working hours, promotion, demotion
- Marketing Mix – Product, Price, Place, Promotion
- Research and design

Types of decisions

Basic decisions

Decisions concerned with unique problems and situations an organization is facing, that require large investments.

E.g. Launch of a new product

Routine decisions

Decisions that have to be made during the normal course of a business, that are repetitive in nature and require small investments.

Personal decisions

Informal Decisions that a person makes as an individual, and not as a member of an organization which do not directly affect the organization.

Organizational decisions

Formal Decisions that a person makes as a member of an organization using formal authority, which directly affect the organization.

Individual decisions

Decisions taken by a single individual during regular routine work according to the policies of the organization.

Group decisions

Decisions taken by a group or a committee formed for a specific purpose to make an important and informed decision for the organization.

Rational decisions

Decisions made after careful and systematic analysis of a problem and evaluation of several alternatives based on rational and logical facts and figures.

Irrational decisions

Decisions based on intuition or experience of the decision maker and not based on relevant facts and figures.

Programmed decisions

Routine and repetitive decisions made by lower level executives using pre-established rules and procedures that require little time and effort and are easy and simple to make.

Un-programmed decisions

Decisions concerned with unique problems faced by an organization for which no pre-established rules and procedures have been made. Such decisions are complex, demand lot of time and effort and have a long term impact.

Decision Making Process

Awareness of the Problem

At this stage the decision maker becomes aware about a problem that is to be solved.

Diagnose and State the Problem

The decision maker understands and analyses the problem and attempts to describe the problem and objectives that are to be achieved through solution.

Develop the Alternatives

This stage involves collection of data regarding the problem and formulation of different alternate course of action that can be followed to solve the problem.

Evaluate the Alternative

This step involves evaluation of the various alternatives on the basis of the feasibility of a particular action, market and business situation, resources of the organization, time period in which the objective has to be achieved etc.

Select the Best Alternative

After analysing and evaluating the possible outcomes of each course of action the most suitable, feasible and profitable option is selected.

Implement and Verify the decision

The next step involves implementing the decision and making sure that the selected course of action meets the expected outcomes. Follow up strategies are prepared to react towards any counter moves of others affected by the decision.

Feedback

Decision Making is a continuous process, hence a feedback from all the parties involved with implementing the decision is taken. Feedback may reveal another problem created due to implementation or hindering effective implementation, which calls a new decision and so on.